Internal Expense Audit Report -- Q1 2026

Nimbus Analytics Inc. -- Finance Department, Internal Audit
Audit Completed: April 2026

1. Purpose and Scope

This internal audit examined a sample of 220 expense reimbursements and 35 vendor invoices processed during Q1 2026, testing for policy compliance, approval completeness, and control effectiveness ahead of the annual SOC 2 audit cycle.

2. Methodology

Internal Audit selected a risk-weighted random sample stratified by expense category and dollar amount, cross-referencing each item against the Expense Portal approval workflow and, where applicable, the home office stipend provisions of the Remote Work Policy.

3. Findings -- Employee Expenses

218 of 220 sampled expense reports (99.1%) had complete manager approval and supporting receipts. Two exceptions were identified: one home-office stipend reimbursement submitted 74 days after purchase (exceeding the 60-day window in the Remote Work Policy) was approved as an exception by HR; one meal expense lacked an itemized receipt and was flagged for employee follow-up, with reimbursement held pending documentation.

4. Findings -- Vendor Invoices

34 of 35 sampled vendor invoices (97%) matched an active, signed contract in the vendor system referenced in the Vendor Contract Summary. One invoice from a marketing subcontractor was processed against an expired statement of work; Finance has since implemented an automated contract-expiration check in the invoice approval workflow to prevent recurrence.

5. Control Effectiveness

No instances of duplicate payment, unauthorized vendor additions, or expense report fraud indicators were identified in the sample. The two-person approval control for payments over $10,000 operated effectively in all 12 sampled instances.

6. Recommendations

Internal Audit recommends: (1) automated flagging of expense submissions approaching the 60-day reimbursement deadline, and (2) quarterly reconciliation of active vendor contracts against the invoice approval system, both targeted for implementation by Q3 2026.

7. Conclusion

Overall, Q1 2026 expense and vendor payment controls were assessed as effective, with two minor exceptions remediated during the audit period.